



## CHANGING DYNAMICS



VCs ARE TAKING BACK CONTROL OF THE PACE OF DEAL CLOSING



GOVERNANCE, NOT JUST AT THE TIME OF ENTRY BUT THROUGH THE LIFECYCLE, IS BECOMING CRITICAL



THE SLOWDOWN IS LEADING TO A SYSTEMATIC REPRICING OF CAPITAL AND RISK; FLAT/DOWN ROUNDS BECOME A NECESSITY



HEAVILY STRUCTURED TERM SHEETS AND INNOVATIVE FINANCIAL MODELS ARE EMERGING



GAP BETWEEN CATEGORY LEADERS AND THE REST ARE WIDENING, TRIGGERING MORE CONSOLIDATION

ILLUSTRATION BY RAJ VERMA

into emerging markets. Why? As ultra-loose monetary policies come to an end, the gap in interest rates in the US and emerging markets like India reduces, making the latter less attractive for foreign investors. Coupled with public market uncertainties and slowing of tech businesses with fears of a recession looming large, aggressive late-stage investors are cutting down on their private market exposure.

The developing situation forced several global investors, including SoftBank, General Catalyst, Coatue and Tiger Global to show restraint in new investments. For SoftBank, the poor performance of its tech investments was among the leading causes for the largest-ever quarterly loss—\$23.4 billion—at its Vision Fund unit in the April-June quarter. The company marked down 284 companies in its portfolio during the quarter, which included hundreds of unlisted companies. SoftBank said it plans to trim its start-up investments by more than half. “In fact, our Vision Fund saw huge valuation loss. But unfortunately, unicorn companies’ leaders still believe in their valuations, and they would not accept the fact that they may have to see their valuation lower than they think. So, until the multiple of unlisted companies is lower than the multiple of listed companies, we should wait,” Founder, Chairman & CEO Masayoshi Son said after the earnings announcement.

With several global VC firms tightening their fists, the funding tap for start-ups has slowed globally and in India. As per data from PGA Labs, after three consecutive quarters of raising more than \$10 billion, the total funding in the Indian start-up ecosystem fell by 46 per cent during April-June 2022 to \$8.2 billion, from the peak of \$15.2 billion in Q3CY21. The immediate impact of these factors has been on late-stage investments. As per PGA Labs, late-stage funding halved over the past six months—from \$14 billion in the second half of 2021 to \$7 billion in the first half of this year.

Unlike in 2021, investors are no longer scrambling over each other to write the largest cheques. They are taking their time to evaluate and undertake due diligence before making a commitment.

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**A CLOSER LOOK** reveals tectonic shifts happening. In the thick of the funding frenzy, start-up founders were akin